

chapter 13

Human Resource Management

Target Skill

human resource management skill: the ability to take actions that increase the contributions of individuals within the organization

o b j e c t i v e s

To help build my *human resource management skill*, when studying this chapter, I will attempt to acquire:

1. An overall understanding of how appropriate human resources can be provided for the organization
2. An appreciation for the relationship among recruitment efforts, an open position, sources of human resources, and the law
3. Insights into the use of tests and assessment centers in employee selection
4. An understanding of how the training process operates
5. A concept of what performance appraisals are and how they can best be conducted

CHALLENGE CASE

CISCO RECRUITS THE BEST MINDS IN CHINA

JOHN CHAMBERS IS THE CEO OF CISCO SYSTEMS, a company that manufactures and sells networking communications equipment to a wide array of customers in both the private and public sectors. In recent years, Cisco's success has been evidenced by its tremendous financial performance. Cisco's sales have been known to grow more than 50 percent annually over five-year periods—an astronomical rate for any corporation, especially for a company as large as Cisco.

To a large extent, Cisco's success has been the result of its human resource strategy. Often, Cisco has acquired other companies mainly to gain their bright engineers. As employees of acquired companies, people normally became Cisco's new employees. During a recent two-year period, Cisco averaged an acquisition every other week and doubled its employee base to 44,000 workers.

Complementing its acquisition strategy, Cisco used other tactics to recruit new employees during the technology boom in the late 1990s. For example, Cisco used focus groups to learn what type of movies and Web sites the best and brightest potential employees favored. Then, Cisco programmed its Web site to recognize visitors from its chief rival 3Com and greeted these visitors with a special screen stating, "Welcome to Cisco; would you like a job?" Cisco figured that competitors bold enough to visit its Web site were just the type of employees it needed.

More recently, Cisco increased its focus on hiring employees in other countries. Specifically, Cisco concentrated intensely on recruiting and retaining employees in China. However, Cisco is not the only multinational company to recognize the importance of China's supply of human resources—Cisco competes with other companies such as Intel and IBM for these potential employees.

Despite China's enormous population, only a limited supply of qualified engineers there also speak English. As such, the competition for recruiting these employees remains fierce. In fact, Cisco has instituted several new tactics in hiring new employees. The company, for example, offers private shuttle buses from subways to the company's office. In addition, the company offers management development seminars to help the employees, who are young and focus largely on technology, improve their management skills. Relying on practices such as these has helped Cisco hire some of the most talented engineers in Shanghai.

In short, Cisco is applying the human resource management practices perfected in the United States to other global markets. As market conditions change, though, John Chambers knows that Cisco's human resource strategy will also need to change its focus internationally if it wants to recruit and retain the best and brightest minds in the technology sector.¹



■ *Cisco's human resources managers adapt their strategies to ensure the company recruits and retains the right people to meet its goals.*

EXPLORING YOUR MANAGEMENT SKILL

You can explore your level of human resource management skill **before** studying the chapter by completing the exercise “Exploring Your Management Skill: Part 1” on page 312 and

after studying this chapter by completing the exercise “Exploring Your Management Skill: Part 2” on page 313.

THE HUMAN RESOURCE MANAGEMENT CHALLENGE

The Challenge Case discusses tactics that management at Cisco Systems has used to hire and retain its brightest employees in China. The task of hiring and retaining not just people, but the *right* people—particularly top performers at senior levels in the organization—is part of managing human resources in any organization.² This chapter outlines the

process of managing human resources within an organization and emphasizes how hiring and retaining the right people is part of this process for managers at a company such as Cisco. This chapter discusses this process by first defining appropriate human resources and then examining the steps to be followed in providing them.

DEFINING APPROPRIATE HUMAN RESOURCES

The phrase **appropriate human resources** refers to the individuals within the organization who make a valuable contribution to management system goal attainment. This contribution results from their productivity in the positions they hold. The phrase *inappropriate human resources* refers to organization members who do not make a valuable contribution to the attainment of management system objectives. For one reason or another, these individuals are ineffective in their jobs.

Productivity in all organizations is determined by how human resources interact and combine to use all other management system resources. Such factors as background, age, job-related experience, and level of formal education all play a role in determining how appropriate the individual is for the organization. Although the process of providing appropriate human resources for the organization is involved and somewhat subjective, the following section offers insights on how to increase the success of this process.

STEPS IN PROVIDING HUMAN RESOURCES

To provide appropriate human resources to fill both managerial and nonmanagerial openings, managers follow four sequential steps.³

1. Recruitment
2. Selection
3. Training
4. Performance appraisal

Figure 13.1 illustrates these steps.

Recruitment

Recruitment is the initial attraction and screening of the supply of prospective human resources available to fill a position. Its purpose is to narrow a large field of prospective employees to a relatively small group of individuals from which someone eventually will be hired. To be effective, recruiters must know the job they are trying to fill, where potential human resources can be located, and how the law influences recruiting efforts. What’s more, with advances in technology, recruiting continues to evolve and change. To maintain appropriate human resources, today’s managers must keep abreast of the trends.⁴

FIGURE 13.1

Four steps to providing appropriate human resources for an organization



Knowing the Job Recruitment activities must begin with a thorough understanding of the position to be filled so the broad range of potential employees can be narrowed intelligently. The technique commonly used to gain that understanding is known as **job analysis**. Basically, job analysis is aimed at determining a job description (the activities a job entails)—which was discussed in the previous chapter—and a **job specification** (the characteristics of the individual who should be hired for the job).⁵ Figure 13.2 shows the relationship of job analysis to job description and job specification.⁶

The U.S. Civil Service Commission has developed a procedure for performing a job analysis. As with all job analysis procedures, the Civil Service procedure uses information gathering as the primary means of determining what workers do and how and why they do it. Naturally, the quality of the job analysis depends on the accuracy of information gathered. This information is used to develop both a job description and a job specification.⁷

Knowing Sources of Human Resources Besides a thorough knowledge of the position the organization is trying to fill, recruiters must be able to pinpoint sources of human resources. The supply of individuals from which to recruit is continually changing, which means that at times, finding appropriate human resources will be much harder than at other times. Human resources specialists in organizations continually monitor the labor market so they will know where to recruit suitable people and what kind of strategies and tactics to use to attract job applicants in a competitive marketplace.⁸

Sources of human resources available to fill a position can be generally categorized in two ways: sources inside the organization and sources outside the organization.

Sources Inside the Organization The pool of employees within the organization is one source of human resources. Some individuals who already work for the organization may be well qualified for an open position. Although existing personnel are sometimes moved laterally within an organization, most internal movements are promotions. Promotion from within has the advantages of building employee morale, encouraging employees to work harder in hopes of being promoted, and enticing employees to stay with the organization because of the possibility of future promotions. Companies such as Exxon and General Electric find it especially rewarding to train their managers for advancement within the organization.⁹

HUMAN RESOURCE INVENTORY A **human resource inventory** consists of information about the characteristics of organization members. The focus is on past performance and future

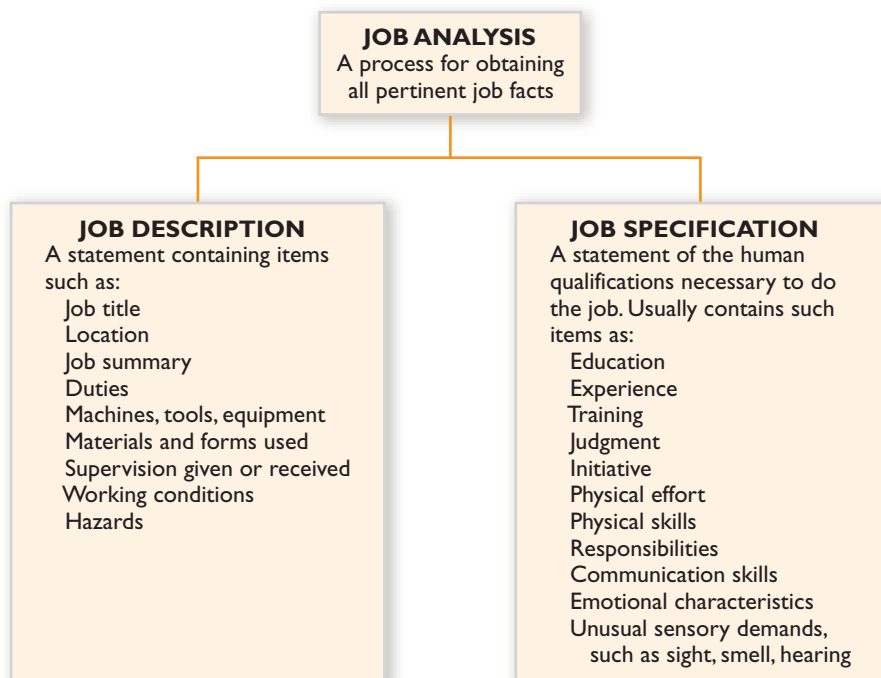


FIGURE 13.2
Relationship of job analysis, job
description, and job
specification

potential, and the objective is to keep management up to date about the possibilities for filling a position from within. This inventory should indicate which individuals in the organization would be appropriate for filling a position if it became available. In a classic article, Walter S. Wikstrom proposed that organizations keep three types of records that can be combined to maintain a useful human resource inventory.¹⁰ Although Wikstrom focused on filling managerial positions, slight modifications to his inventory forms would make his records equally useful for filling nonmanagerial positions. Many organizations computerize records like the ones Wikstrom suggests to make their human resource inventory system more efficient and effective.

- The first of Wikstrom's three types of records for a human resource inventory is the **management inventory card**. The management inventory card in Figure 13.3 has been completed for a fictional manager named Mel Murray. It indicates Murray's age, year of employment, present position and the length of time he has held it, performance ratings, strengths and weaknesses, the positions to which he might move, when he would be ready to assume these positions, and additional training he would need to fill the positions. In short, this card contains an organizational history of Murray and an indication of how he might be used in the future. Note that Figures 13.3, 13.4, and 13.5 depict a computerized version of Wikstrom's human resource inventory system.
- Figure 13.4 shows Wikstrom's second type of human resource inventory record—the **position replacement form**. This record focuses on position-centered information rather than the people-centered information maintained on the management inventory card. Note that the form in Figure 13.4 indicates little about Murray, but much about two individuals who could replace him. The position replacement form is helpful in determining what would happen to Murray's present position if Murray were selected to be moved within the organization or if he decided to leave the organization.
- Wikstrom's third human resource inventory record is the **management manpower replacement chart** (see Figure 13.5). This chart presents a composite view of the individuals

FIGURE 13.3
Management inventory card

NAME Murray, Mel	AGE 47	EMPLOYED 1992
PRESENT POSITION Manager, Sales (House Fans Division)		ON JOB 6 years
PRESENT PERFORMANCE Outstanding—exceeded sales goal in spite of stiffer competition.		
STRENGTHS Good planner—motivates subordinates very well—excellent communication.		
WEAKNESSES Still does not always delegate as much as situation requires. Sometimes does not understand production problems.		
EFFORTS TO IMPROVE Has greatly improved in delegating in last two years; also has organized more effectively after taking a management course on own time and initiative.		
COULD MOVE TO Vice President, Marketing		WHEN 2010
TRAINING NEEDED More exposure to problems of other divisions (attend top staff conference?). Perhaps university program stressing staff role of corporate marketing versus line sales.		
COULD MOVE TO Manager, House or Industrial Fans Division		WHEN 2011 2012
TRAINING NEEDED Course in production management; some project working with production people; perhaps a good business game somewhere.		

POSITION Manager, Sales (House Fans Division)			
PERFORMANCE Outstanding	INCUMBENT Mel Murray	SALARY \$44,500	MAY MOVE 1 Year
REPLACEMENT 1 Earl Renfrew		SALARY \$39,500	AGE 39
PRESENT POSITION Field Sales Manager, House Fans		EMPLOYED: Present Job 3 years Company 10 years	
TRAINING NEEDED Special assignment to study market potential for air conditioners to provide forecasting experience.			WHEN READY Now
REPLACEMENT 2 Bernard Storey		SALARY \$38,500	AGE 36
PRESENT POSITION Promotion Manager, House Fans		EMPLOYED: Present Job 4 years Company 7 years	
TRAINING NEEDED Rotation to field sales. Marketing conference in fall.			WHEN READY 2 years

FIGURE 13.4
Position replacement form

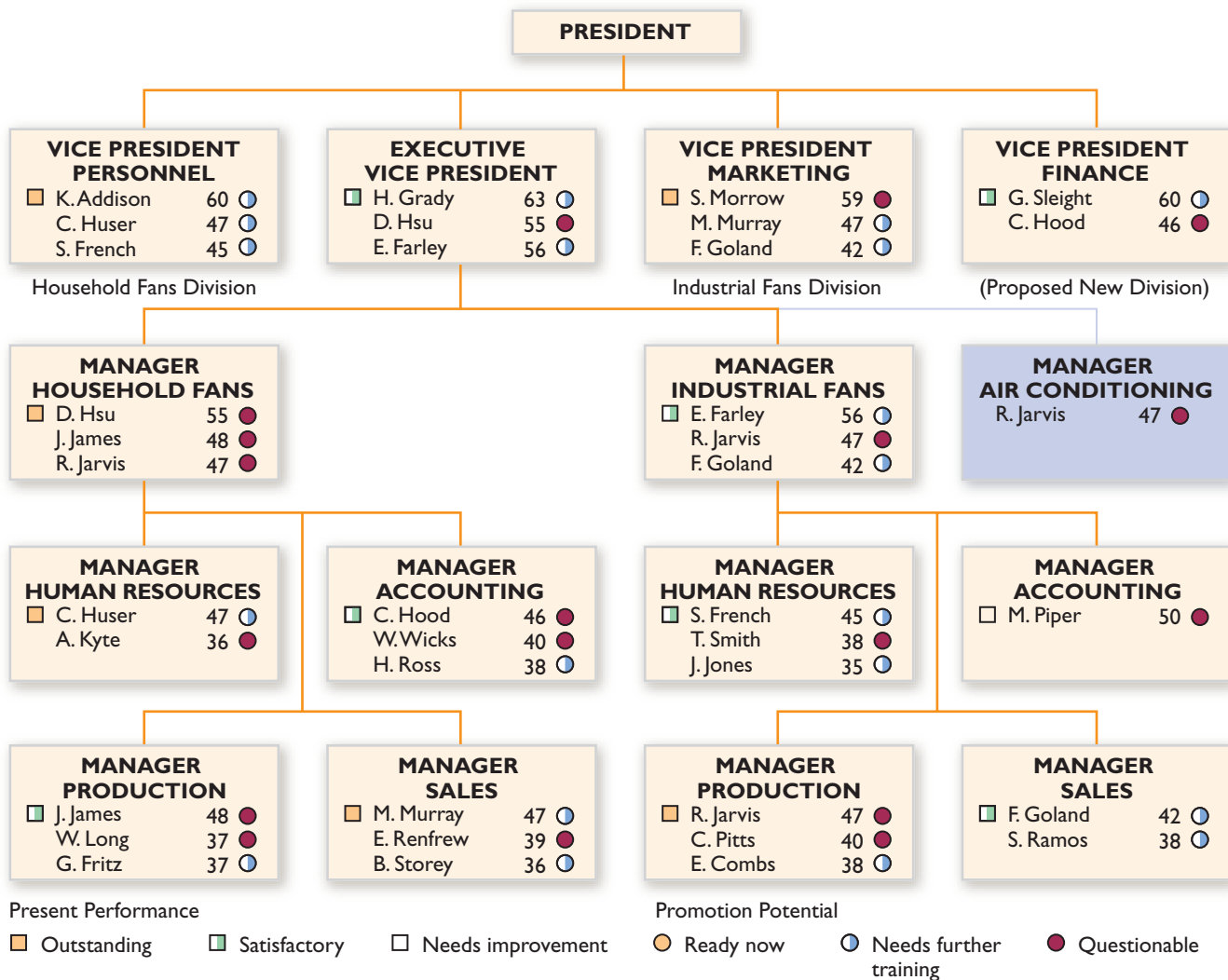


FIGURE 13.5 Management manpower replacement chart

management considers significant for human resource planning. Note in Figure 13.5 how Murray's performance rating and promotion potential can easily be compared with those of other employees when the company is trying to determine which individual would most appropriately fill a particular position.

The management inventory card, the position replacement form, and the management manpower replacement chart are three separate record-keeping devices for a human resource inventory. Each form furnishes different data on which to base a hiring-from-within decision. These forms help management answer the following questions:

1. What is the organizational history of an individual, and what potential does that person possess (management inventory card)?
2. If a position becomes vacant, who might be eligible to fill it (position replacement form)?
3. What are the merits of one individual being considered for a position compared to those of another individual under consideration (management manpower replacement chart)?

Overall, Wikstrom's human resource inventory system can serve as the foundation for succession planning in organizations. **Succession planning** is the process of outlining who will follow whom in various organizational positions. Studies show that it will be among the top five challenges executives face in the future.¹¹ Michael Eisner, the chief executive officer at Walt Disney Company, has been strongly criticized for not developing a plan for who would succeed him. In 1994, moments before he underwent heart bypass surgery, Eisner summoned his wife and two sons to his hospital gurney. Eisner told them that if it becomes an issue, he thought that either Barry Diller or Michael Orvitz should succeed him. Criticism of Eisner several years later indicated that he still did not have a plan for who would succeed him. Conscientiously keeping a human resource inventory can help a manager such as Eisner to determine a plan not only for who would succeed him, but all other managers at Disney.¹² Computer software is available to aid managers in keeping track of the organization's complex human resource inventories and in making better decisions about how employees can best be deployed and developed.¹³

Sources Outside the Organization If a position cannot be filled by someone currently employed by the organization, management has available numerous sources of human resources outside the organization. These sources include the following:

1. **Competitors**—One often-tapped external source of human resources is competing organizations. Because of several advantages in luring human resources away from competitors, this type of piracy has become a common practice. Among the advantages are the following:
 - The individual knows the business.
 - The competitor will have paid for the individual's training up to the time of hire.
 - The competing organization will probably be weakened somewhat by the loss of the individual.
 - Once hired, the individual will be a valuable source of information about how to best compete with the other organization.
2. **Employment agencies**—Employment agencies help people find jobs and help organizations find job applicants. Such agencies can be either public or private. Public employment agencies do not charge fees, whereas private ones collect a fee from either the person hired or the organization doing the hiring, once the hire has been finalized.
3. **Readers of certain publications**—Perhaps the most widely used external source of human resources is the readership of certain publications. To tap this source, recruiters simply place an advertisement in a suitable publication. The advertisement describes the open position in detail and announces that the organization is accepting applications from qualified individuals. The type of position to be filled determines the type of publication in which the advertisement is placed. The objective is to advertise in a publication whose readers are likely to be interested in filling the position. An opening for a top-level executive might be advertised



Job applicants, like this woman, are an important source of human resources that companies can also attract through various recruitment strategies like job fairs.

in the *Wall Street Journal*, a training director opening might be advertised in the *Journal of Training and Development*, and an educational opening might be advertised in the *Chronicle of Higher Education*.

4. **Educational institutions**—Many recruiters go directly to schools to interview students close to graduation time. Liberal arts schools, business schools, engineering schools, junior colleges, and community colleges all have somewhat different human resources to offer. Recruiting efforts should focus on the schools with the highest probability of providing human resources appropriate for the open position.

To increase hiring at educational institutions, Intel Corp. and 24 venture capital firms have created a \$3.5 billion strategic alliance called “Invest in America.” The alliance has enlisted 18 technology firms, including Cisco Systems, eBay, Google, and Yahoo!, who have committed to increase their hiring of college grads. Offering more opportunity to recent grads is one way U.S. business can help support the recovering economy.¹⁴ ■

how managers do it

Recruiting at the “Invest in America” Alliance

Knowing the Law Legislation has had a major impact on modern organizational recruitment practices. Managers need to be aware of the laws that govern recruitment efforts. The Civil Rights Act, passed in 1964 and amended in 1972, created the **Equal Employment Opportunity Commission (EEOC)** to enforce federal laws prohibiting discrimination on the basis of race, color, religion, sex, and national origin in recruitment, hiring, firing, layoffs, and all other employment practices. Such laws include the Pregnancy Discrimination Act,¹⁵ requiring the treatment of pregnancy as a medical disability; the Age Discrimination in Employment Act, prohibiting the arbitrary setting of age limits for job holders; and the Americans with Disabilities Act, prohibiting discrimination against individuals with mental or physical disabilities in the area of employment.

Equal opportunity legislation protects the right of a citizen to work and obtain a fair wage based primarily on merit and performance. The EEOC seeks to uphold this right by overseeing the employment practices of labor unions, private employers, educational institutions, and government bodies.

Affirmative Action In response to equal opportunity legislation, many organizations have established an **affirmative action program**.¹⁶ Translated literally, *affirmative action* means positive movement: “In the area of equal employment opportunity, the basic purpose of positive movement or affirmative action is to eliminate barriers and increase opportunities for the purpose of increasing the utilization of underutilized and/or disadvantaged individuals.”¹⁷ An organization can judge how much progress it is making toward eliminating such barriers by taking the following steps:

1. Determining how many minority and disadvantaged individuals it presently employs
2. Determining how many minority and disadvantaged individuals it should be employing according to EEOC guidelines
3. Comparing the numbers obtained in steps 1 and 2

If the two numbers obtained in step 3 are nearly the same, the organization’s employment practices probably should be maintained; if they are not nearly the same, the organization should modify its employment practices accordingly.

Modern management writers recommend that managers follow the guidelines of affirmative action, not merely because they are mandated by law, but because of the characteristics of today’s labor supply.¹⁸ According to these writers, more than half of the U.S. workforce now consists of minorities, immigrants, and women. Because the overall workforce is so diverse, it follows that employees in today’s organizations will also be more diverse than in the past. Thus today’s managers face the challenge of forging a productive workforce out of an increasingly diverse labor pool, and this task is more formidable than simply complying with affirmative action laws.

Diversity also suggests diversity in age, and with the aging of America’s baby boom generation, recruiting managers are increasingly paying attention to real and perceived differences in work values among younger generations of workers.¹⁹

Selection

The second major step involved in providing human resources for the organization is **selection**—choosing an individual to hire from all those who have been recruited. Selection, obviously, is dependent on the first step, recruitment.

Selection is represented as a series of stages through which job applicants must pass to be hired.²⁰ Each stage reduces the total group of prospective employees until, finally, one individual is hired. Figure 13.6 lists the specific stages of the selection process, indicates reasons for eliminating applicants at each stage, and illustrates how the group of potential employees is narrowed to the individual who ultimately is hired. Two tools often used in the selection process are testing and assessment centers.

STAGES OF THE SELECTION PROCESS

Preliminary screening from records, data sheets, etc.
Preliminary interview

Intelligence tests
Aptitude tests

Personality tests
Performance references

Diagnostic interview

Physical examination
Personal judgment

REASONS FOR ELIMINATION

Lack of adequate educational and performance record
Obvious misfit from outward appearance and conduct
Failure to meet minimum standards
Failure to have minimum necessary aptitude
Negative aspects of personality
Unfavorable or negative reports on past performance
Lack of necessary innate ability, ambition, or other qualities
Physically unfit for job
Remaining candidate placed in available position

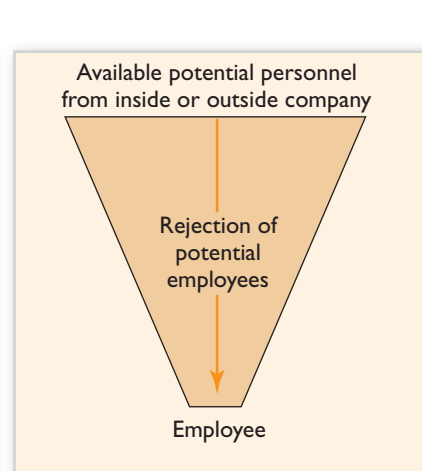


FIGURE 13.6 Summary of major factors in the selection process

Testing **Testing** is examining human resources for qualities relevant to performing available jobs. Although many different kinds of tests are available for organizational use, they generally can be divided into the following four categories.²¹

1. **Aptitude tests**—Tests of aptitude measure the potential of an individual to perform a task. Some aptitude tests measure general intelligence, while others measure special abilities, such as mechanical, clerical, or visual skills.²²
2. **Achievement tests**—Tests that measure the level of skill or knowledge an individual possesses in a certain area are called achievement tests. This skill or knowledge may have been acquired through various training activities or through experience in the area. Examples of skill tests are typing and keyboarding tests.
3. **Vocational interest tests**—Tests of vocational interest attempt to measure an individual's interest in performing various kinds of jobs. They are administered on the assumption that certain people perform jobs well because they find the job activities stimulating. The basic purpose of this type of test is to select for an open position the individual who finds most aspects of that position interesting.
4. **Personality tests**—Personality tests attempt to describe an individual's personality dimensions in such areas as emotional maturity, subjectivity, honesty, and objectivity. These tests can be used advantageously if the personality characteristics needed to do well in a particular job are well defined and if individuals possessing those characteristics can be identified and selected. Managers must be careful, however, not to expose themselves to legal prosecution by basing employment decisions on personality tests that are invalid and unreliable.²³

Testing Guidelines Several guidelines should be observed when tests are used as part of the selection process. First, care must be taken to ensure that the test being used is both valid and reliable. A test is *valid* if it measures what it is designed to measure and *reliable* if it measures similarly time after time.²⁴ Second, test results should not be used as the sole determinant of a hiring decision. People change over time, and someone who doesn't score well on a particular test might still develop into a productive employee. Such factors as potential and desire to obtain a position should be assessed subjectively and used along with test scores in the final selection decision. Third, care should be taken to ensure that tests are nondiscriminatory; many tests contain language or cultural biases that may discriminate against minorities, and the EEOC has the authority to prosecute organizations that use discriminatory testing practices. Finally, employers should acknowledge that such tests may increase employee anxiety, as they worry about the potential effects of such testing.²⁵

Assessment Centers Another tool often used in employee selection is the assessment center. Although the assessment center concept is discussed in this chapter primarily as an aid to selection, it is also used in such areas as human resource training and organization development. The first industrial use of the assessment center is usually credited to AT&T. Since AT&T's initial efforts, the assessment center concept has expanded greatly, and today it is used not only as a means for identifying individuals to be hired from outside an organization, but also for identifying individuals from inside the organization who should be promoted. Corporations that have used assessment centers extensively include JCPenney, Standard Oil of Ohio, and IBM.²⁶

An **assessment center** is a program (not a place) in which participants engage in a number of individual and group exercises constructed to simulate important activities at the organizational levels to which they aspire.²⁷ These exercises can include such activities as participating in leaderless discussions, giving oral presentations, and leading a group in solving some assigned problem.²⁸ The individuals performing the activities are observed by managers or trained observers who evaluate their ability and their potential. In general, participants are assessed according to job-related criteria such as oral communication, conflict resolution, leadership, persuasion, and problem solving.²⁹

TABLE 13.1

Management Training Topics for Police Within the Alabama Department of Public Safety

-Organization Theory	-Effective Communication
-Leadership	-Hiring Practices
-Organizational Goals	-Training Process
-Media Relations	-Measuring Productivity
-Problem Solving	-Employee Evaluations
-Decision Making	-Discipline
-Time Management	-Legal Aspects of Discipline and Termination
-Stress Management	-Motivation
-Ethics and Integrity	-Contingency Planning

Training

After recruitment and selection, the next step in providing appropriate human resources for the organization is training. **Training** is the process of developing qualities in human resources that will enable them to be more productive and thus contribute more to organizational goal attainment. The purpose of training is to increase the productivity of employees by influencing their behavior. Table 13.1 provides an overview of the types and popularity of training being offered by organizations today.

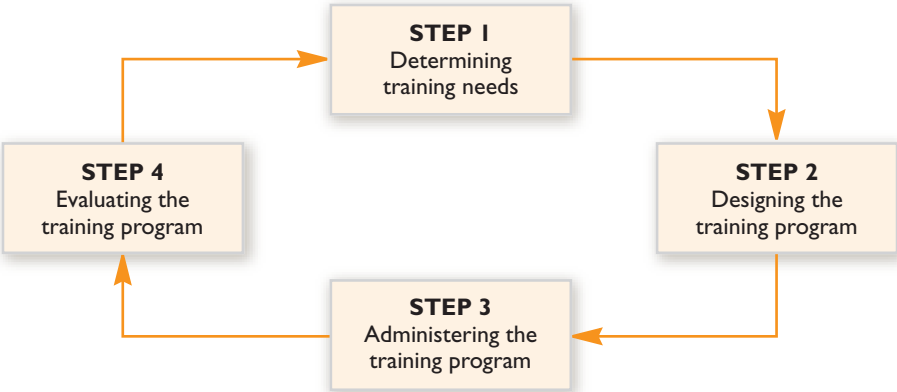
The training of individuals is essentially a four-step process:

- 1. Determining training needs
- 2. Designing the training program
- 3. Administering the training program
- 4. Evaluating the training program

These steps are presented in Figure 13.7 and are described in the sections that follow.

Determining Training Needs The first step of the training process is determining the organization’s training needs.³⁰ **Training needs** are the information or skill areas of an individual or group that require further development to increase the productivity of that individual or group. Only if training focuses on these needs can it be productive for the organization.

FIGURE 13.7
Steps of the training process



The training of organization members is typically a continuing activity. Even employees who have been with the organization for some time and who have undergone initial orientation and skills training need continued training to improve their skills.

DETERMINING NEEDED SKILLS Several methods are available for determining on which skills to focus with established human resources. One method calls for evaluating the production process within the organization. Such factors as excessive rejected products, unmet deadlines, and high labor costs are clues to deficiencies in production-related expertise. Another method for determining training needs calls for getting direct feedback from employees on what they believe are the organization's training needs. Organization members are often able to verbalize clearly and accurately exactly what types of training they require to do a better job. A third way of determining training needs involves looking into the future. If the manufacture of new products or the use of newly purchased equipment is foreseen, some type of corresponding training almost certainly will be needed.

For example, South Coast Health System in New Bedford, Mass., recently adopted a new paperless system shortly after a recent round of layoffs. For the remaining IT employees to be able to support the new system, management at South Coast recognized they would need additional training. As a result, the company made a significant investment in outside training programs.³¹ ■

how managers do it

Investing in Training Programs at South Coast Health System

Designing the Training Program Once training needs have been determined, a training program aimed at meeting those needs must be designed. Basically, designing a program entails assembling various types of facts and activities that will meet the established training needs. Obviously, as training needs vary, so will the facts and activities designed to meet those needs.

Administering the Training Program The next step in the training process is administering the training program—that is, actually training the individuals selected to participate in the program. Various techniques exist for both transmitting necessary information and developing needed skills in training programs, and several of these techniques are discussed in the sections that follow.

TECHNIQUES FOR TRANSMITTING INFORMATION Two techniques for transmitting information in training programs are lectures and programmed learning. Although it could be argued that these techniques develop some skills in individuals as well as transmit information to them, they are primarily devices for the dissemination of information.

1. **Lectures**—Perhaps the most widely used technique for transmitting information in training programs is the lecture. The **lecture** is primarily a one-way communication situation in which an instructor orally presents information to a group of listeners. The instructor typically does most of the talking, and trainees participate primarily through listening and note taking.

An advantage of the lecture is that it allows the instructor to expose trainees to a maximum amount of information within a given time period. The lecture, however, has some serious disadvantages:³²

The lecture generally consists of a one-way communication: The instructor presents information to the group of passive listeners. Thus, little or no

In the offices of Wipro in Bangalore, India, employees receive a great deal of specialized training in order to provide software support services to the company's international clients.



opportunity exists to clarify meanings, to check on whether trainees really understand the lecture material, or to handle the wide diversity of ability, attitude, and interest that may prevail among the trainees. Also, this format permits little or no opportunity for practice, reinforcement, knowledge of results, or overlearning. Ideally, the competent lecturer should make the material meaningful and intrinsically motivating to his or her listeners. However, whether most lectures achieve this goal is a moot question. These limitations, in turn, impose further limitations on the lecture's actual content. A skillful lecturer may be fairly successful in transmitting conceptual knowledge to a group of trainees who are ready to receive it; however, all the evidence available indicates that the nature of the lecture situation makes it of minimal value in promoting attitudinal or behavioral change.

2. **Programmed learning**—Another commonly used technique for transmitting information in training programs is called programmed learning. **Programmed learning** is a technique for instructing without the presence or intervention of a human instructor.³³ Small parts of information that require related responses are presented to individual trainees. The trainees can determine from checking their responses against provided answers whether their understanding of the information is accurate. The types of responses required of trainees vary from situation to situation but usually are multiple-choice, true-false, or fill-in-the-blank.

With advances in technology, some training professionals are developing new forms of programmed learning. Selected employers, for example, are incorporating the use of virtual-world programs like Second Life into their training programs.³⁴

Like the lecture method, programmed learning has both advantages and disadvantages. Among the advantages are that it can be computerized and students can learn at their own pace, know immediately whether they are right or wrong, and participate actively in the learning process. The primary disadvantage of this method is that no one is present to answer a confused learner's questions.

TECHNIQUES FOR DEVELOPING SKILLS Techniques for developing skills in training programs can be divided into two broad categories: on-the-job and classroom. Techniques for developing skills on the job, referred to as **on-the-job training**, reflect a blend of job-related knowledge and experience. They include coaching, position rotation, and special project committees. *Coaching* is direct critiquing of how well an individual is performing a job.³⁵ *Position rotation* involves moving an individual from job to job to enable the person to gain an understanding of the organization as a whole. *Special project committees* are vehicles for assigning a particular task to an individual to furnish him or her with experience in a designated area.³⁶

Classroom techniques for developing skills also reflect a blend of job-related knowledge and experience. The skills addressed through these techniques can range from technical, such as computer programming skills, to interpersonal, such as leadership skills. Specific classroom techniques aimed at developing skills include various types of management games and role-playing activities. The most common format for *management games* requires small groups of trainees to make and then evaluate various management decisions. The *role-playing format* typically involves acting out and then reflecting on some people-oriented problem that must be solved in the organization.

In contrast to the typical one-way communication of the lecturer, the skills instructor in the classroom encourages high levels of discussion and interaction among trainees, develops a climate in which trainees learn new behavior from carrying out various activities, clarifies related information, and facilitates learning by eliciting trainees' job-related knowledge and experience in applying that knowledge. The difference between the instructional role in information dissemination and the instructional role in skill development is dramatic.³⁷

Evaluating the Training Program After the training program has been completed, management should evaluate its effectiveness.³⁸ Because training programs represent an investment—costs include materials, trainer time, and production loss while employees are being trained rather than doing their jobs—a reasonable return is essential.

Basically, management should evaluate the training program to determine whether it meets the needs for which it was designed. Answers to questions such as the following help determine training program effectiveness:

1. Has the excessive reject rate of products declined?
2. Are deadlines being met more regularly?
3. Are labor costs per unit produced decreasing?

If the answer to such questions is yes, the training program can be judged as at least somewhat successful, though perhaps its effectiveness could be enhanced through certain selective changes. If the answer is no, significant modification to the training program is warranted.

In a noteworthy survey of businesspeople, 50 percent of respondents thought their sales per year would be unaffected if training programs for experienced salespeople were halted.³⁹ Management needs to seek and scrutinize this kind of feedback to see whether present training programs should be discontinued, slightly modified, or drastically altered to make them more valuable to the organization. The results of the survey just mentioned indicate a need to make significant changes in sales training programs at the companies covered by the survey.

Performance Appraisal

Even after individuals have been recruited, selected, and trained, the task of making them maximally productive within the organization is not finished. The fourth step in the process of providing appropriate human resources for the organization is **performance appraisal**—the process of reviewing individuals' past productive activity to evaluate the contribution they have made toward attaining management system objectives. Like training, performance appraisal—which is also called *performance review* and *performance evaluation*—is a continuing activity that focuses on both established human resources within the organization and newcomers. Its main purpose is to furnish feedback to organization members about how they can become more productive and useful to the organization in its quest for quality.⁴⁰ Table 13.2 describes several methods of performance appraisal.

Why Use Performance Appraisals? Most U.S. firms engage in some type of performance appraisal. Douglas McGregor has suggested the following three reasons for using performance appraisals:⁴¹

1. They provide systematic judgments to support salary increases, promotions, transfers, and sometimes demotions or terminations.

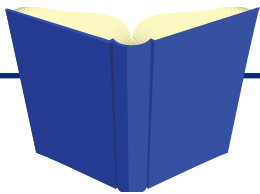
TABLE 13.2 Descriptions of Several Methods of Performance Appraisal

Appraisal Method	Description
Rating scale	Individuals appraising performance use a form containing several employee qualities and characteristics to be evaluated (e.g., dependability, initiative, leadership). Each evaluated factor is rated on a continuum or scale ranging, for example, from 1 to 7.
Employee comparisons	Appraisers rank employees according to such factors as job performance and value to organization. Only one employee can occupy a particular ranking. This method is also known as a “forced distribution” or “forced ranking” system. ⁴²
Free-form essay	Appraisers simply write down their impressions of employees in paragraph form.
Critical-form essay	Appraisers write down particularly good or bad events involving employees as these events occur. Records of all documented events for any one employee are used to evaluate that person's performance.

Performance appraisals provide feedback to organization members that can help them become more productive in their jobs. Managers who rely on day-to-day observation of employees, as this manager does, can accumulate needed evidence to back up their appraisals.



2. They are a means of telling subordinates how they are doing and of suggesting needed changes in behavior, attitudes, skills, or job knowledge; they let subordinates know where they stand with the boss.
3. They furnish a useful basis for the coaching and counseling of individuals by superiors.



class discussion highlight

MODERN RESEARCH AND HUMAN RESOURCES SKILL

The Timing of Job Offers

Receiving a job offer is always an exciting event for an individual. At the same time, extending a job offer is an important commitment from an organization. While many students worry about receiving job offers, very few consider job offers from the organization's perspective. When an organization extends an offer, human resource managers want to do everything they can to ensure the individual accepts their offer. A very important issue for organizations and organizational researchers, then, involves understanding how to increase the likelihood that individuals accept job offers.

To better understand this issue, Professors Becker, Connolly, and Slaughter examined how the timing of an offer (i.e., how long after the candidate's

interview) influenced an individual's likelihood of accepting the job offer. To answer this question, the researchers analyzed more than 3,000 job offers made by one large organization over time. The sample of job offers included both those made to students as well as those extended to more experienced candidates. Do you think that the timing of an offer (e.g., offers made quickly after an interview versus those made long after an interview) influenced the likelihood of an individual accepting the offer? Do you think this differed among the two sets of individuals (e.g., students vs. experienced workers)? Why or why not?

Source: William Becker, Terry Connolly, and Jerel Slaughter, "The Effect of Job Offer Timing on Offer Acceptance, Performance, and Turnover," *Personnel Psychology*, 63 (2010): 223–241.

Handling Performance Appraisals If performance appraisals are not handled well, their benefits to the organization will be minimal.⁴³ Several guidelines can assist management in increasing the appropriateness with which appraisals are conducted. The first guideline is that performance appraisals should stress performance in the position the individual holds and the success with which the individual is attaining organizational objectives. Although conceptually separate, performance and objectives should be inseparable topics of discussion during performance appraisals. The second guideline is that appraisals should emphasize how well the individual is doing the job, not the evaluator's impression of the individual's work habits. In other words, the goal is an objective analysis of performance rather than a subjective evaluation of habits.

The third guideline is the appraisal should be acceptable to both the evaluator and the subject—that is, both should agree that it has benefit for the organization and the worker. The fourth, and last, guideline is performance appraisals should provide a base for improving individuals' productivity within the organization by making them better equipped to produce.⁴⁴

Potential Weaknesses of Performance Appraisals To maximize the payoff of performance appraisals to the organization, managers must avoid several potential weaknesses of the appraisal process, including the following pitfalls:⁴⁵

1. Performance appraisals focus employees on short-term rewards rather than on issues that are important to the long-run success of the organization.
2. Individuals involved in performance appraisals view them as a reward–punishment situation.
3. The emphasis of performance appraisal is on completing paperwork rather than on critiquing individual performance.
4. Individuals being evaluated view the process as unfair or biased.
5. Subordinates react negatively when evaluators offer unfavorable comments.

To avoid these potential weaknesses, supervisors and employees should look on the performance appraisal process as an opportunity to increase the worth of the employee through constructive feedback, not as a means of rewarding or punishing the employee through positive or negative comments. Paperwork should be viewed only as an aid in providing this feedback, not as an end in itself. Also, care should be taken to make appraisal feedback as tactful and objective as possible to minimize negative reactions.

In the spirit of continuous improvement, executives at Aetna recently changed the company's performance appraisal system. The former system, which was paper-based, required a great deal of time to complete; as such, many managers did not have the time needed to appraise their employees. Aetna's new system, however, uses technology that constantly allows managers to assess their employees. At any time, managers can access a dashboard that allows them to assess employee skills, evaluate career growth, and suggest training needs. The new plan seems to work. In a recent poll, 83 percent of Aetna's employees reported that they understood how they contribute to the company's goals. Just a few years earlier, less than 60 percent of the company's employees understood their contributions.⁴⁶ ■

how managers do it

Using a New Performance Appraisal System at Aetna

CHALLENGE CASE SUMMARY

After training needs at Cisco have been determined and programs have been designed to meet those needs, the programs must be administered. Administering training programs at Cisco might involve the lecture technique as well as the programmed learning technique for transmitting information to trainees. For actually developing skills in trainees, Cisco could use on-the-job training methods, such as coaching, position rotation, or special project committees. For developing skills in a classroom setting, Cisco could use instructional techniques, such as role-playing activities. For example, salespeople could be asked to handle customers with various kinds of needs and budgets. These situations then could be analyzed from the viewpoint of how to improve salespeople–customer relationships.

Once a Cisco training program has been completed, it must be evaluated to determine whether it met the training need for which it was designed. Training programs aimed at specific skills such as computer programming would be much easier to evaluate than would training programs aimed at interpersonal skills such as developing customer relations. The evaluation of any training program at Cisco of course, should emphasize how to improve the program the next time it is implemented.

In hiring new employees for an operation like Cisco, management must be careful to emphasize not just hiring workers, but hiring the right workers. For Cisco, appropriate human resources are those people who will make a valuable contribution to the attainment of the company's organizational objectives. In hiring engineers, managers, salespeople, and administrative assistants, for example, management should consider hiring only those people who will best help the organization become successful. In finding appropriate human resources, management at Cisco has to follow four basic steps: (1) recruitment, (2) selection, (3) training, and (4) performance appraisal.

Basically, recruitment would entail the initial screening of individuals available to fill open positions at Cisco. For recruitment efforts to be successful, recruiters have to know the jobs they are trying to fill, where potential human resources can be located, and how the law influences recruiting efforts.

Recruiters could acquire an understanding of open positions at a company such as Cisco by performing a job analysis. The job analysis would force them to determine the job description of the open position—the activities of an engineer, programmer, salesperson, for example—and the job specification of the position, including the type of individual who should be hired to fill that position.

A successful recruitment effort at Cisco would require recruiters to know where to locate the available human

resources to fill open positions at Cisco. These sources may be both within Cisco and outside it.

To ensure that Cisco maintains its position as one of the best technology companies in the world, management must plan for obtaining needed appropriate human resources along with other resources like equipment and real estate. To do this, management can keep current on the possibilities of filling positions from within by maintaining some type of human resource inventory. This inventory can help management organize information about the organizational histories and potential of various Cisco employees as well as the relative abilities of various Cisco employees to fill the necessary openings. Some of the sources of potential human resources outside Cisco that management could be aware of are competitors, public and private employment agencies, the reader of industry-related publications, and various types of educational institutions. As mentioned in the case, Cisco went to great lengths to attract employees from 3Com, one of its main competitors.

Cisco management must also be aware of how the law influences its recruitment efforts. Basically, the law says that Cisco recruitment practices cannot discriminate on the basis of race, color, religion, sex, or national origin. If recruitment practices at Cisco are found to be discriminatory, the company is subject to prosecution by the Equal Employment Opportunity Commission.

After the initial screening of potential human resources, Cisco will be faced with the task of selecting the individuals to be hired from those who have been screened. Two tools that Cisco could use to help in this selection process are testing and assessment centers.

For example, after screening potential employees for positions at Cisco, management could use aptitude tests, achievement tests, vocational interest tests, or personality tests to see whether any of the individuals screened had the qualities necessary to work a specific job. In using these tests, however, management must make sure the tests are both valid and reliable, that they are not the sole basis on which a selection decision is made, and that they are nondiscriminatory.

Cisco can also use assessment centers to simulate the tasks necessary to perform jobs that workers will be performing. Individuals who performed well on these tasks would probably be more appropriate for the positions than would those who did poorly. The use of assessment centers might be particularly appropriate in evaluating applicants for sales positions. Simulating this job would probably give management an excellent idea of how prospective salespeople would actually interact with customers during sales presentations.

After hiring, Cisco must train new employees, including those simply transferred to new locations within the

company, to be productive organization members. To train effectively, Cisco must determine training needs, design a corresponding training program, and administer and evaluate the training program.

Designing a training program requires that Cisco assemble facts and activities that address specific company training needs. These needs are information or skill areas that must be further developed in Cisco employees to make them more productive. Over the long term, training at Cisco should focus on more established employees, employees transferred within the company, and employees hired outside the company.

As mentioned in the case, Cisco historically has used acquisitions to gain new employees. In these situations, management should probably try to learn as much as possible about the training programs employees went through at the acquired companies. Knowing the strengths and weakness of training programs at such companies would probably help management at Cisco understand what further training, if any, these employees need to work effectively.

The last step in providing appropriate human resources at Cisco is performance appraisal through which the contributions Cisco employees make toward

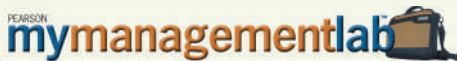
the attainment of management system objectives must be evaluated. Because of Cisco's rapid expansion, employees will have various levels of experience at Cisco. As such, the performance appraisal process at Cisco should focus on newer as well as more established employees.

It would be difficult to visualize a Cisco employee who could not benefit from a properly conducted performance appraisal. Such an appraisal would stress activities on the job and effectiveness in accomplishing job objectives. An objective appraisal would provide Cisco employees with tactful, constructive criticism that should help increase their productivity. Handled properly, Cisco's appraisals would not be a reward or a punishment in themselves, but an opportunity to increase value to the company. Objective analysis of performance in a company such as Cisco should help employees become more productive over time rather than being without guidance and perhaps moving toward the inevitable outcome of being fired. Overall, if these performance appraisal issues are addressed at Cisco, as well as issues related to recruitment, selection, and training, management should be successful in providing appropriate human resources for the company.

MANAGEMENT SKILL ACTIVITIES

This section is specially designed to help you develop human resource management skill. An individual's management skill is based on an understanding of management concepts and the ability to apply those concepts in management situations. As a result, the following activities are designed both to heighten your understanding of human resource management concepts and to help you gain facility in applying these concepts in various management situations.

UNDERSTANDING HUMAN RESOURCE MANAGEMENT CONCEPTS



To check your understanding and to practice using the concepts in this chapter, go to www.mymanagementlab.com and explore the material associated with Chapter 13.

Know Key Terms

Understanding the following key terms is critical to your understanding of chapter material. Define each of these terms. Refer to the page(s) referenced after a term to check your definition or to gain further insight regarding the term.

appropriate human resources 296
recruitment 296
job analysis 297
job specification 297
human resource
inventory 297
management inventory
card 298

position replacement form 298
management manpower
replacement chart 298
succession planning 300
Equal Employment Opportunity
Commission (EEOC) 301
affirmative action program 302
selection 302

testing 303
assessment center 303
training 304
training needs 304
lecture 305
programmed learning 306
on-the-job training 306
performance appraisal 307

Know How Management Concepts Relate

This section is comprised of activities that will further sharpen your understanding of management concepts. Answer essay questions as completely as possible. Also, remember that many additional true/false and multiple choice questions appear online at MyManagementLab.com to help you further refine your understanding of management concepts.

1. Describe the four steps in the human resource management process. In your opinion, which step is most important? Explain.
2. Compare and contrast the three types of records used to record an organization's human resource inventory.
3. Review and describe the different types of tests organizations might use in the selection process.
4. Describe the four main steps in the training process. In your view, how important is the training process for organizations?
5. What are performance appraisals, and why are they important? Use an example from your life to illustrate either an effective or ineffective performance appraisal.

DEVELOPING MANAGEMENT SKILLS

Learning activities in this section are aimed at helping you develop your human resource management skill. Learning activities include Exploring Your Management Skill: Parts 1 and 2, Experiential Exercises, Cases, and a VideoNet Exercise.

Exploring Your Management Skill: Part 1

Before studying this chapter, respond to the following questions regarding the type of advice you would give to Cisco's John Chambers referenced in the Challenge Case. Then address the concerning human resource management challenges that he presently faces within the company. You are not expected to be a human resource management expert at this point. Answering the questions now can help you focus on important points when you study the chapter. Also, answering the questions again after you study the chapter will give you an idea of how much you have learned.

Record your answers here or go to MyManagementLab.com. Recording your answers in MyManagementLab will allow you to get immediate results and see how your score compares to your classmates. If you answer the questions in the book, the answers are located in the Exploring Your Management Skill Appendix at the end of the book.

FOR EACH STATEMENT CIRCLE:

- "Y" if you would give the advice to John Chambers.
- "N" if you would NOT give the advice to John Chambers.
- "NI" if you have no idea whether you would give the advice to John Chambers.

Mr. Chambers, in meeting your human resource management challenges at Cisco, you should . . .

Before After
Study Study

1. focus on hiring and retaining both appropriate and inappropriate human resources.
Y, N, NI
2. recognize the three steps in the human resource management process: recruitment, selection, and training.
Y, N, NI
3. focus primarily on hiring employees first and then work with the newly hired employees to define their jobs.
Y, N, NI
4. understand that job openings may be filled by individuals who work within Cisco as well as other individuals who do not work at Cisco.
Y, N, NI
5. rely on human resource inventory techniques such as the management inventory card, position replacement form, and management manpower replacement chart to monitor Cisco's human resources.
Y, N, NI
6. understand that Cisco can choose potential employees based on race, color, religion, and gender for hiring, firing, and layoff policies.
Y, N, NI
7. rely exclusively on personality tests—and not aptitude or achievement tests—in the selection process.
Y, N, NI
8. focus on valid tests in the selection process and not worry as much about test reliability.
Y, N, NI
9. understand that training is typically an ongoing activity, whereby individuals are trained multiple times throughout their careers at Cisco.
Y, N, NI
10. employ both lectures and programmed learning as techniques for training Cisco employees.
Y, N, NI
11. evaluate Cisco's training program periodically to assess its effectiveness.
Y, N, NI

12. use performance appraisals to support salary increases but rely on other techniques for promotions, demotions, and terminations.
Y, N, NI
13. performance appraisals should focus primarily on the evaluator's impression of the employee's performance and not on objective measures of the employee's performance.
Y, N, NI
14. performance appraisals should focus on both short-term and long-term measures of the employee's performance.
Y, N, NI
15. individuals involved with the performance appraisal process should view the process as a punishment-reward situation.
Y, N, NI

Exploring Your Management Skill: Part 2

As you recall, you completed Exploring Your Management Skill before you started to study this chapter. Your responses gave you an idea of how much you initially knew about human resource management and helped you focus on important points as you studied the chapter. Answer the Exploring Your Management Skill questions again now and compare your score to the first time you took it. This comparison will give you an idea of how much you learned from studying this chapter

and pinpoint areas for further clarification before you start studying the next chapter. Record your answers within the text or go to MyManagementLab.com. Recording your answers in MyManagementLab will allow you to get immediate results and see how your score compares to your classmates. If you answer the questions in the book, the answers are located in the Exploring Your Management Skill Appendix at the end of the book.

Your Management Skills Portfolio

Your Management Learning Portfolio is a collection of activities especially designed to demonstrate your management knowledge and skill. By completing these activities online at MyManagementLab.com, you will be able to print, complete with cover sheet, as many activities as you choose. Be sure to save your work. Taking your printed portfolio to an employment interview could be helpful in obtaining a job.

The portfolio activity for this chapter is Designing a Human Resource Management Program at Room & Board. Study the information and complete the exercises that follow.⁴⁷

Room & Board is a furniture retailer based in Minneapolis. Although the company operates only a limited number of locations, customers have flocked to Room & Board stores to purchase sleek furniture. Resulting from customer demand, the company recently introduced an annual "cata-zine" and also introduced a Web site to fulfill online orders. As a result of its

success, a number of investors are encouraging Room & Board's founder, John Gabbert, to expand its locations quickly.

Despite Room & Board's success, Gabbert is somewhat concerned that a rapid expansion of the company will damage the company's human resources policies and procedures. Currently, the organization's culture is positive, and the relatively flat organizational structure provides employees with high levels of authority and responsibility, which most find important. Moreover, the company encourages employees to work smarter—not harder—and encourages employees to only work 40 hours per week.

Gabbert has asked you to provide an analysis of the human resources policies at Room & Board. In particular, he is interested in learning more about how growth will influence a small company's human resource function. To help him better understand the situation, use the knowledge you have developed through this chapter to answer the questions.

1. How will growth influence a Room & Board's **recruitment** policies?

2. How will growth influence Room & Board's **selection** policies?

3. How will growth influence Room & Board's **training** policies?

4. How will growth influence Room & Board's **performance appraisal** system?

5. Write a job description for a sales associate position at Room & Board.

Experiential Exercises

1 Determining Training Needs at Wal-Mart

Directions. Read the following scenario and then perform the listed activities. Your instructor may want you to perform the activities as an individual or within groups. Follow all of your instructor's directions carefully.

Wal-Mart and Dell recently reached an agreement to sell Dell computers to customers in Wal-Mart stores. However, top executives at Wal-Mart and Dell are somewhat concerned, because most of Wal-Mart's sales associates do not have any experience selling computers.

As such, Wal-Mart has contacted your group to help design the training program that will be used in all Wal-Mart locations. Specifically, the executives want you to determine the training needs, which is the first step in the training process. Your group should describe the process you would use to determine these training needs. Assume that Wal-Mart

and Dell will give you the resources necessary to implement your process (i.e., access to employees, managers, etc.). Also, rely on your own experiences with purchasing and using personal computers to describe some of the training needs from a customer's perspective.

2 You and Your Career

The beginning of the chapter distinguished between appropriate and inappropriate human resources and implied that employees should focus on demonstrating how they contribute to the organization's goals. The previous section suggests that training can help employees improve their job skills. How might training influence whether your employer (or future employer) considers you an "appropriate" human resource? How might your view of the training process affect your performance as an employee?

VideoNet Exercise

Human Resources at KPMG

Video Highlights

Employees stick around when they see a bright future ahead of them. To amp up the perceived wattage for employees looking down the road, KPMG designed interactive software called Employee Career Architecture (ECA). Using this tool, someone in accounting who is beginning to doubt his or her passion for number-crunching can explore new functions and jobs within the company and choose to participate in a rotation, which allows him or her to sample options firsthand. People can see where different tracks lead in terms of their earning potential, and they can see what kinds of skills they'll need to develop to continue moving upward.

2. How does the Employee Career Architecture program used by KPMG differ from a more traditional performance appraisal system?
3. How does KPMG use its career program to help determine training needs?

Internet Activity

Go to the KPMG Web site at www.kpmg.com. How does KPMG use its company Web site as a recruiting tool? Which of the external recruiting sources would most likely be attracted to the information provided on the site?

Discussion Questions

1. What are some of the challenges faced by KPMG in trying to recruit employees from outside the organization? How do these impact the external recruiting sources?

CASES

1 CISCO RECRUITS THE BEST MINDS IN CHINA

“Cisco Recruits the Best Minds in China” (p. 295) and its related Challenge Case Summary were written to help you better understand the management concepts contained in this chapter. Answer the following discussion questions about the Challenge Case to better see how your understanding of managing human resources can be applied in a company such as Cisco.

1. How important is the training of employees to an organization such as Cisco? Explain.
2. What actions besides training must an organization such as Cisco take to make employees as productive as possible?
3. Based on information in the case, what do you think will be the biggest challenge for Cisco management in successfully providing appropriate human resources for the organization? Explain.

2 HOW RAISING CANE’S USES SOCIAL MEDIA TO ATTRACT CANDIDATES

Read the case and answer the questions that follow. Studying this case will help you better understand how concepts relating to recruiting can be applied in a company such as Raising Cane’s.

Recruiting new employees in the restaurant industry has certainly changed in the last five to ten years. Very recently, a restaurant manager could simply put a “help wanted” sign on the door and it was sufficient to garner candidates for everything from server and busboy to cook and general manager.

But recruiting opportunities are more challenging now and one restaurant chain that has embraced the latest forms of recruiting is Raising Cane’s Chicken Fingers. Founded by Todd Graves, the Louisiana-based company is named after Graves’ pet dog.

Graves’ story is that of the driven entrepreneur. His vision of a restaurant devoted to chicken fingers was met with disdain—even his college professor said it was a terrible idea and gave his business plan the worst grade in the class. Graves, though, held on to his vision. Attempting to garner enough money to start his first restaurant, he took jobs as a boilermaker in a refinery and even took on 20-hour workdays for a commercial fishery off the coast of Alaska. Finally, he had enough money and a business plan to convince a lender to front him the funds to open Raising Cane’s Chicken Fingers.

Today, the chain has nearly 100 stores. Keeping all those locations fully staffed is an ongoing endeavor, and as more locations are added to the chain, the recruiting effort becomes even greater.

Graves believes strongly in the type of employee he is seeking. He wants individuals who have fun while getting their jobs done. “The people who work behind the register and in the kitchen are a little crazy,” Graves acknowledged. “They love what they do for a living. They work hard and play hard. They take pride in what they do.”⁴⁸

So how does a successful and growing restaurant chain recruit the best employees it can find? It uses many tactics, but its use of social media is among the strongest in the industry. Utilizing Facebook, Twitter, and YouTube, the chain attempts to reach candidates through the venues they use most often.

On Raising Cane’s Facebook page, individuals can readily discover what job opportunities are available. This is an especially important means of connecting with job candidates because most likely, they would not be visiting Raising Cane’s Facebook page if they were not already a loyal fan of the chain. “It goes without saying,” said Graves, “that I get very excited as more and more people want to know about Raising Cane’s. I love seeing my dream and the dream of our crew, become a reality everyday. It’s wonderful bringing great people together to grow something truly great.”⁴⁹

Also, photos of employees and store locations can be found on the Facebook page. Caniacs—the very loyal fans of the restaurant—make comments on Facebook, with praises for good food and great service. All this serves to blend both marketing and recruiting in a seamless fashion. The idea is that if customers really enjoy the restaurant, they may also find a career there.

The chain posts videos on YouTube to showcase not only the menu offerings, but opportunities to work at the restaurant as well. One such video is over a minute and a half long and gives a straightforward description of what it is like to work at Raising Cane’s. A casual dress code permitting jeans is emphasized, but so is the opportunity to earn a solid income. Also, the video highlights career path opportunities, including how one can start as a cashier or server and work one’s way to a general manager position. Overall, the YouTube video features the relaxed and fun working environment of Raising Cane’s and it gives specific instructions on how to apply for a variety of jobs with the chain.

Successful restaurateurs like Graves have realized the importance of social media, whether it be for marketing or recruiting talent. Attracting the right candidates for jobs is critical, especially at a firm that relies so heavily on positive customer contact. Fortunately, Graves’ enthusiasm permeates everything the company does—opening new locations, overseeing the marketing of the chain, or making certain the best candidates are hired. “This isn’t my job,” said Graves. “It’s my passion.”⁵⁰

QUESTIONS

1. How important is social media such as Facebook, Twitter, and YouTube in attracting qualified candidates for jobs? Explain.
2. If a company were to rely exclusively on social media as a recruiting tool, what challenges would it encounter? What would you recommend to overcome these challenges?
3. Based on what you just read, is Raising Cane’s the kind of organization for which you would enjoy working? Why or why not?

Endnotes

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Exploring Your Management Skill Answers

Chapter 1

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Chapter 2

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Chapter 3

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Chapter 4

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Chapter 5

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Chapter 6

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Chapter 7

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Chapter 8

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Chapter 9

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Chapter 10

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Chapter 11

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Chapter 12

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Chapter 13

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Chapter 14

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Chapter 15

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Chapter 16

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Chapter 17

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Chapter 18

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Chapter 19

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Chapter 20

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Chapter 21

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Chapter 22

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